TOWA Corporation

6315.T | Tokyo Stock Exchange Prime | 2026-10-11

Q4 2027 model ceiling: JPY 3,960.97

Analytical Base 46/60 = 77 | Packaging process moat; order acceptance and product-mix watch

20x forward-four-quarter fully expensed operating profit, less JPY1,554.065m matched net financial/pension claims after a JPY10bn operating reserve, divided by end-window diluted common shares. Calendar quarter plus next three.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in JPY m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: JPY 2,650.00 per share (2026-10-09 15:30 Asia/Tokyo regular close); 75.042 million common shares (June30 net75.031664m plusAug18new0.010584m); estimated equity capitalization JPY 198,862.0 million. Current 2024 three-for-one split basis. Forecast starts at 75.05m shares and adds 0.004m each quarter for ordinary awards; no ADR or OTC substitute. This dated common-share snapshot is separate from forecast diluted shares.

Growth or re-rating: 66% growth under the owner's sequential-percentage heuristic (34% re-rating / 66% growth). Uses the dated 2026-10-09 15:30 Asia/Tokyo regular close price, Q4 2026 ceiling and Q4 2027 ceiling at the artifact's own valuation basis. This compares two percentage moves with different denominators; it is not an additive return attribution or a measurement of actual P/E expansion. The classification changes with price and forecasts.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	14,947.6	20x	75.082	3,960.97

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

JPY consolidated operating profit including research, stock compensation, ordinary depreciation and acquisition amortization. Cash/debt fromJune30; retirement net obligation fromMarch31 is a carry-forward proxy. Finance-lease depreciation stays in operating profit; JPY551.933m of lease claims is deducted once. Nonoperating investment gains and securities are excluded.. 20x forward-four-quarter fully expensed operating profit, less JPY1,554.065m matched net financial/pension claims after a JPY10bn operating reserve, divided by end-window diluted common shares. Calendar quarter plus next three.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use JPY m unless a different unit is stated.

Thesis

TOWA makes semiconductor molding equipment, precision molds and related systems. Its role is to encapsulate and protect complicated devices reliably, including structures in which uneven resin flow, warpage or incomplete filling can ruin an expensive package. The new-company model uses 20x fully expensed forward-four-quarter operating profit, with financial claims and diluted shares reconciled separately. This initiates research coverage; it does not establish a portfolio holding.

The attractive feature is process expertise at a difficult packaging step. The caution is that a technically superior machine can take time to qualify, incur expensive first-unit costs and reduce the customer's need for tools or consumables. The model gives credible forward evidence a nonzero contribution while charging for those trade-offs.

Reported earnings and guidance are different periods

TOWA calls the April 2026-March 2027 year FY2026. The model uses calendar quarters. Consequently, the August 6 first-quarter report describes April-June 2026, while the July-September quarter was still only guided at the research date. A calendar quarter ending does not make its results publicly available.

April-June revenue was JPY16,183.487 million, gross profit JPY5,450.100 million and operating profit JPY2,212.002 million. The 13.7% operating margin was below the full-year plan's 16%, so the outlook requires improvement rather than merely annualizing the first quarter.

Management maintained full-year revenue of JPY64 billion and operating profit of JPY10.24 billion. H1 guidance was JPY32 billion and JPY5.12 billion. Subtracting reported April-June results gives an implied July-September revenue of JPY15,816.513 million and operating profit of JPY2,907.998 million. October-December and January-March are modeled at JPY16 billion revenue and JPY2.56 billion operating profit each, a neutral allocation of the guided second half. These near-term anchors are not inflated by additional breadcrumb branches.

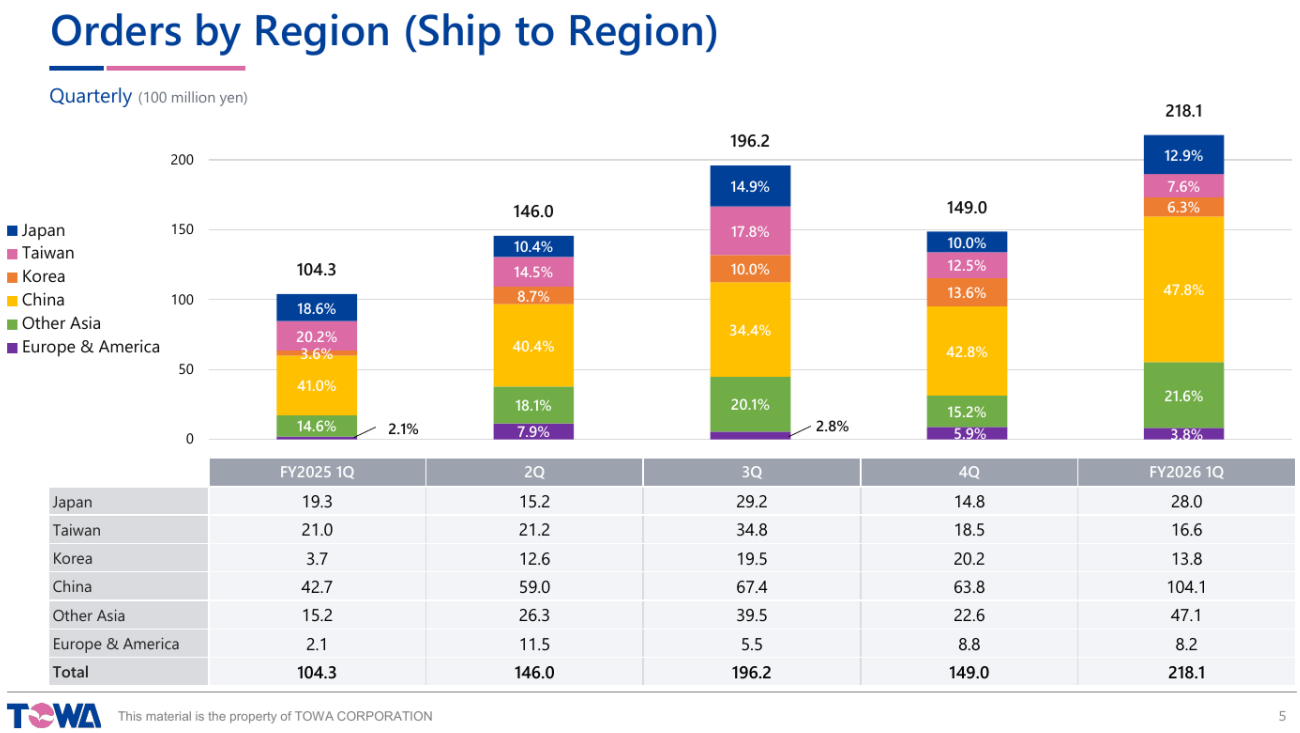
Orders are useful only when customers can accept the tools

The June quarter generated a record approximately JPY21.81 billion of orders, with a June-end backlog of JPY36.28 billion. Orders express customer intent, while revenue depends on shipment, installation and applicable acceptance terms. Semiconductor-factory construction and power availability can push the customer's installation date even when the equipment itself is ready.

China represented 47.8% of June-quarter orders and 34.6% of sales by shipment destination. This is not equivalent to customer headquarters or ultimate product consumption. It is nevertheless relevant to restrictions, investment cycles and delivery concentration.

The latest August release states that no financial-results briefing was scheduled. The available management discussion reviewed is the May 11 presentation and its narration, followed by the May 15 Q&A. The preceding November 2025 presentation supplies the earlier management baseline. It already described HBM4 customer certification and an additional 30-45 HBM molding tools required over several years across the industry, including competitors. Those units are neither annual TOWA shipments nor a new 2026 order disclosure.

May management reiterated the multi-year 30-45-unit estimate rather than announcing a sudden increase. It expected growth in HBM and general-purpose memory but warned that customer factories and power could govern timing. That is important counter-evidence to extrapolating a single record order quarter indefinitely.



	FY2025 1Q	2Q	3Q	4Q	FY2026 1Q
Japan	19.3	15.2	29.2	14.8	28.0
Taiwan	21.0	21.2	34.8	18.5	16.6
Korea	3.7	12.6	19.5	20.2	13.8
China	42.7	59.0	67.4	63.8	104.1
Other Asia	15.2	26.3	39.5	22.6	47.1
Europe & America	2.1	11.5	5.5	8.8	8.2
Total	**104.3**	**146.0**	**196.2**	**149.0**	**218.1**

TOWA issuer presentation, August 6, 2026 | Original June-quarter order geography and record order total; destination is not customer headquarters.

The process problem and who pays

Mold underfill must fill small spaces around increasingly complicated structures without damaging or deforming the package. Compression molding, resin handling, precision surfaces, thermal control and customer recipes jointly determine yield. A customer values stable output and reproducible qualification, not just a press with a higher nominal throughput.

TOWA's semiconductor sales include molding equipment, precision molds and singulation. In the May deck, molding equipment represented about 61%, precision molds 30% and singulation 9% of semiconductor sales. Compression accounted for about 41% of the combined molding-equipment/mold pool. HBM is only part of that pool. Applying HBM growth to every yen of semiconductor revenue would overstate exposure.

The other disclosed businesses include newer products/recurring activities, medical devices and lasers. These diversify revenue but do not all share HBM economics. A special laser order associated with a research project is not assumed to repeat every year. The model uses four revenue pools that reconcile to a consolidated total, while treating their individual margins as analytical allocations.

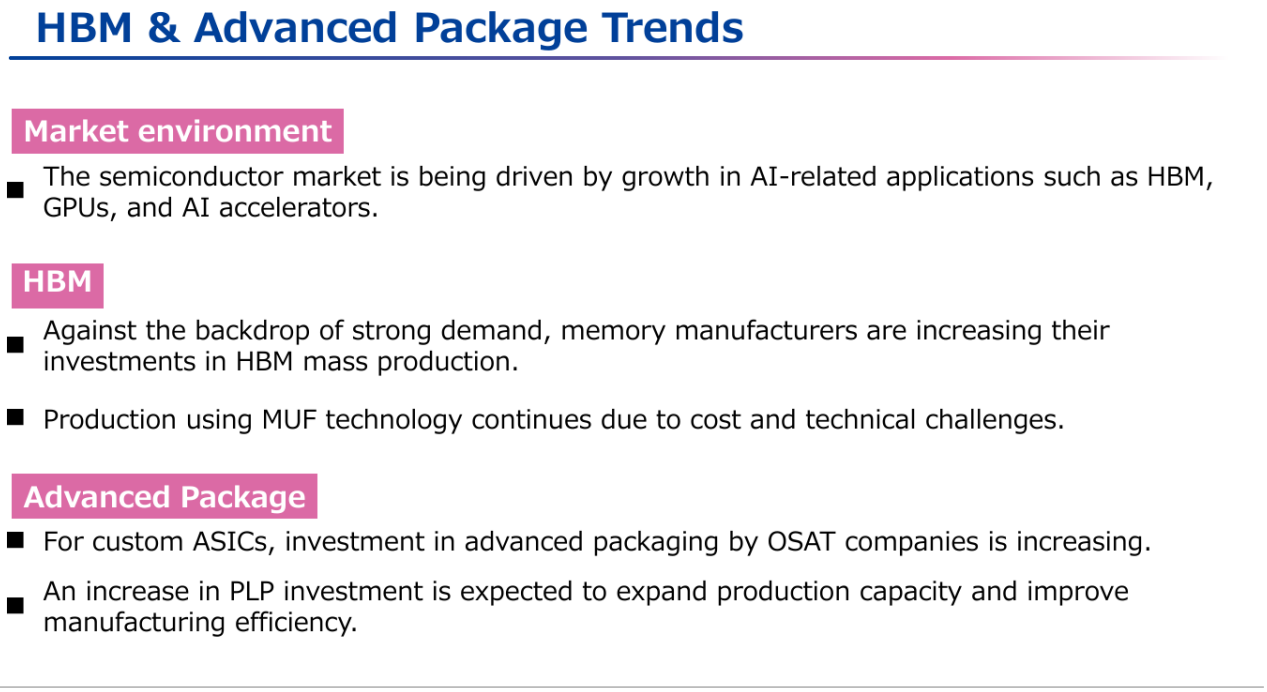
What INNOMS changes

The May material describes INNOMS as a new molding architecture. The issuer claims roughly doubled productivity per unit, 40% less footprint, 50% lower power consumption and 25% lower consumables/material use in its comparison. It also claims about 50% lower mass-production cost. These are issuer performance comparisons with application-dependent results, not a guarantee of TOWA's revenue or profit.

The maximum stated strip size is 100 by 300 mm. That must not be confused with a separate 500-600 mm panel-level packaging opportunity. Similarly, a faster tool may reduce machines required for a given customer's output. The investment case needs accepted output, customer cost savings and TOWA's capture of those savings, rather than adding productivity and unit growth without an offset.

May management described field evaluation and anticipated orders. It expected better equipment margins but acknowledged prototype cost. An analyst asked about 20-30% price premiums; management did not confirm that figure. The model therefore uses a much smaller, explicitly assumed premium on a limited share of new orders.

Lower film consumption can reduce recurring consumable revenue. The model's incremental acceptance pool is net of this effect and of substantial overlap with the already-growing reference. It does not assign the full customer savings to TOWA's margin.



TOWA issuer presentation, May 11, 2026 | Original HBM and advanced-packaging drivers; no direct conversion from industry capex to TOWA sales.

Molding innovation Ⅳ : INNOMS

Semiconductor mass production costs halved

Toward a new standard as the "4th Molding innovation"!

Concept

- ✓ Low cost
- ✓ Mass production
- ✓ Reducing environmental impact



★ New Equipment Features

① Approx. 50% Reduction in Mass Production Costs

② Double Productivity per Unit

③ Approx. 40% Reduction in Footprint

④ Approx. 50% Lower Power Consumption;
Approx. 25% Reduction in Consumables & Materials

⑤ Broad Package Compatibility (Memory, Logic, QFN, RF Modules, etc.)

This material is the property of TOWA CORPORATION

TOWA issuer presentation, May 11, 2026 | Issuer INNOMS productivity and cost comparison; actual customer results depend on the application.

The reference revenue and expense model

After preserving January-March 2027 within current-year guidance, the full run-rate calendar-2027 reference inputs are JPY54 billion semiconductor equipment/molds, JPY10.6 billion new business, JPY2.7 billion medical and JPY2.8 billion lasers. The preserved January-March anchor reduces actual modeled calendar-2027 reference revenue to JPY68.575 billion. The outer-year reference totals are JPY79.3 billion, JPY88.6 billion and JPY95.6 billion in 2028-30.

These are analytical forecasts. They approach, but do not treat as guaranteed, management's longer-term vision of JPY100 billion revenue and 25% operating margin. The forecast remains below that margin ambition, and its outer-year growth becomes less certain as customer capacity responds.

From the post-guidance period, semiconductor gross margin starts at 41% and rises only 30 basis points annually. New business is modeled at 36%, medical 30% and lasers 32%. Production labor, materials, ordinary depreciation and normal compensation are included. Reference operating expense is JPY14.9 billion in 2027, JPY16.2 billion in 2028, JPY18.7 billion in 2029 and JPY19.8 billion in 2030. The 2029 step includes capacity, R&D and staffing expense; it is not a free operating-leverage assumption.

R&D receives 45% of modeled operating expense, with selling, administration, service and ordinary amortization in the remainder. This allocation is a model proxy; the total is the controlling fully expensed figure. Depreciation/amortization rises from roughly JPY3.8 billion annually in 2027 to JPY5 billion in 2030 and is shown separately only for the cash bridge. The approximately JPY8 million quarterly equity-compensation memorandum is already included in operating cost.

Rule 16b: bounded upside and a real downside branch

The combined INNOMS/PLP acceptance branch has a 45% probability, with 35-60% sensitivity. The 2027 gross conditional opportunity is JPY10 billion of additional accepted equipment and molds. Sixty percent is removed for strong growth, replacement demand and existing customer programs already in the reference. The resulting JPY4 billion net annual opportunity also allows for consumable cannibalization. Because January-March remains anchored to current guidance, only JPY3 billion is eligible during calendar 2027.

Conditional net annual additions are JPY6.5 billion in 2028, JPY9 billion in 2029 and JPY10 billion in 2030. The selected 2027 bound is zero to JPY6 billion. The net incremental gross margin is 43%, less 14% for additional R&D, applications engineering, service and operating cost, leaving 29% operating margin. That gives a JPY391.5 million probability-weighted operating contribution during the eligible nine months of 2027.

The separate pricing branch has 50% probability and assumes a 3% premium on only 20% of new or resettable reference orders. Forty percent overlaps reference pricing/mix, so only 60% remains. Eighty percent of that remaining revenue survives incremental production and support cost. No premium is applied again to the INNOMS/PLP branch, and fixed-price backlog is excluded.

The adverse acceptance/mix branch has 30% probability. It removes 10% of semiconductor reference revenue at a 35% decremental operating margin after limited variable-cost relief. This captures delayed installations, weaker product mix and competitive response together. It is supported by the prior year: sales rose modestly, but first-unit costs and mix contributed to materially lower operating profit. The reference and positive breadcrumbs are not presented without that counter-evidence.

The 2029 Kyoto announcement is an R&D site

The December 22, 2025 primary release describes a fixed-term lease for approximately 24,420 square metres of land in Keihanna Science City. Its purpose is R&D and human-resource development, with operations planned for the first half of FY2029. It explicitly says investment amounts and building specifications will be disclosed when finalized.

It is not evidence for a confirmed JPY5 billion, 5,000-square-metre production factory. No output capacity or sales increment is inferred directly from land area. The forecast includes an expense/capex allowance, while the exact site investment, commissioning date and productive contribution remain follow-up items.

Capital claims and common shares

June cash was JPY29,724.824 million. Short-term borrowings of JPY15 billion plus JPY1.995 billion current long-term maturities and JPY3.595 billion other long-term debt total JPY20.590 billion. March finance leases of JPY551.933 million and a net retirement obligation of JPY136.956 million are carried forward as explicit interim proxies where the June detail does not break them out.

The model reserves JPY10 billion of operating cash and deducts JPY1,554.065 million of net financial/pension claims. Finance-lease depreciation remains in profit; the corresponding lease liability is deducted once. Investment securities receive no separate asset credit, and no non-operating gains are capitalized. Future generated cash and buybacks receive no additional valuation credit.

June common shares net of treasury were 75.031664 million. The August 18 issuance of 10,584 restricted common shares brings that reference to 75.042248 million, ignoring immaterial later treasury movements. The forecast starts at 75.05 million and adds 0.004 million per quarter. The 2024 three-for-one stock split is already reflected. The security is the Tokyo ordinary share in JPY, not an invented US ADR.

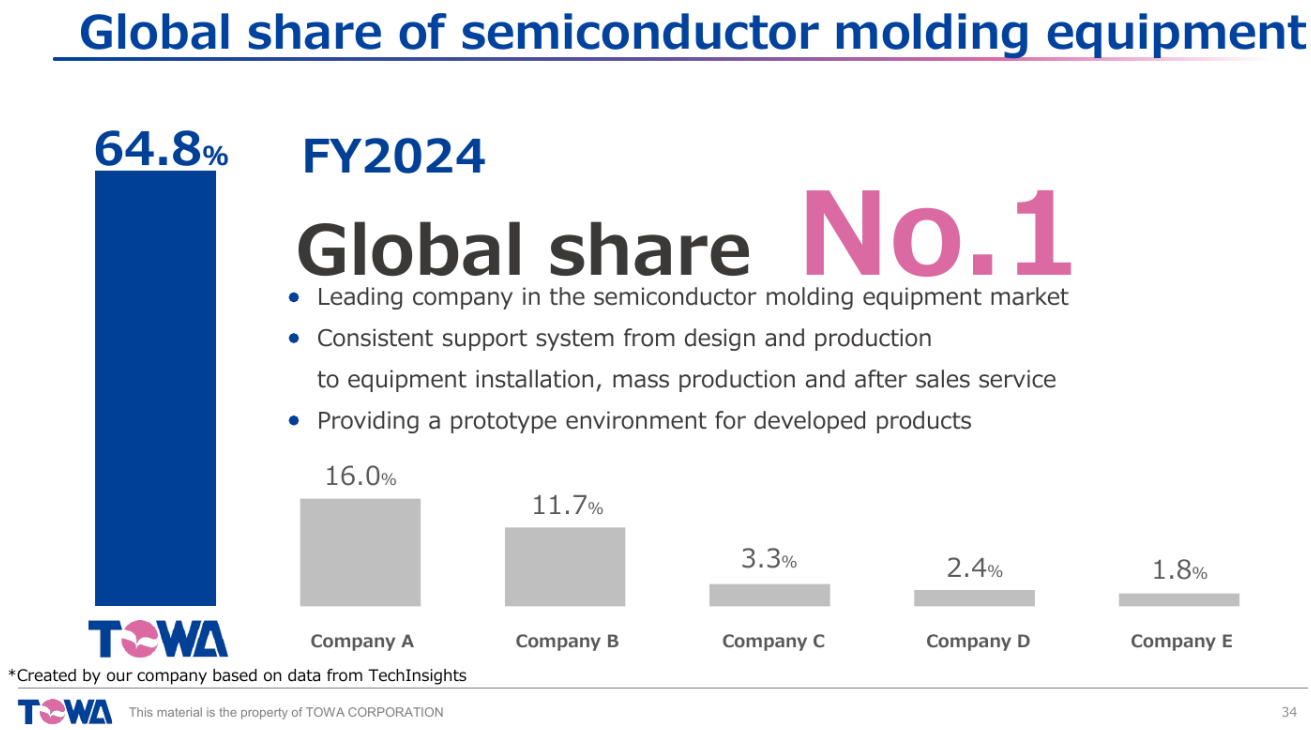
Funding, competition and duration

The cash check uses 30% cash tax after interest, 2% debt interest, a JPY1.8 billion annual dividend, working capital equal to 20% of sequential revenue growth and JPY55 million quarterly lease service. Capex is JPY5.5 billion through 2027, JPY6 billion in 2028, JPY7.5 billion in 2029 and JPY6.5 billion in 2030. These are forecast assumptions, with the initial capex anchored to issuer guidance.

All eight operating combinations remain cash-positive without incremental borrowing under those assumptions. That does not prove unconditional liquidity: JPY15 billion short-term debt must be repaid or rolled, and customer advances, shipment timing and investment expenditures can move cash sharply. The issuer's March facilities also had covenant conditions. The model's cash reserve is a planning discipline, not unrestricted lender availability.

The May deck cites approximately 64.8% share of global molding equipment for FY2024 using an external industry study. It is not share of all packaging equipment, and it does not mean every HBM customer or process is captive. Other molding suppliers, alternative materials, revised packaging flows and customer process development can compete. More productive equipment can expand TOWA's addressable applications while reducing tools needed per unit of output.

The moat is strongest where a qualified process controls package yield and customers cannot quickly replace a validated recipe. It weakens if competing tools reach comparable yields, price competition increases or a different bonding/encapsulation architecture removes the step. The four-year forecast therefore does not assume permanent scarcity or mechanically extend today's record backlog.



TOWA issuer presentation, May 11, 2026 | Original molding-equipment market-share estimate; it is not share of all semiconductor packaging.

Monitoring and investment interpretation

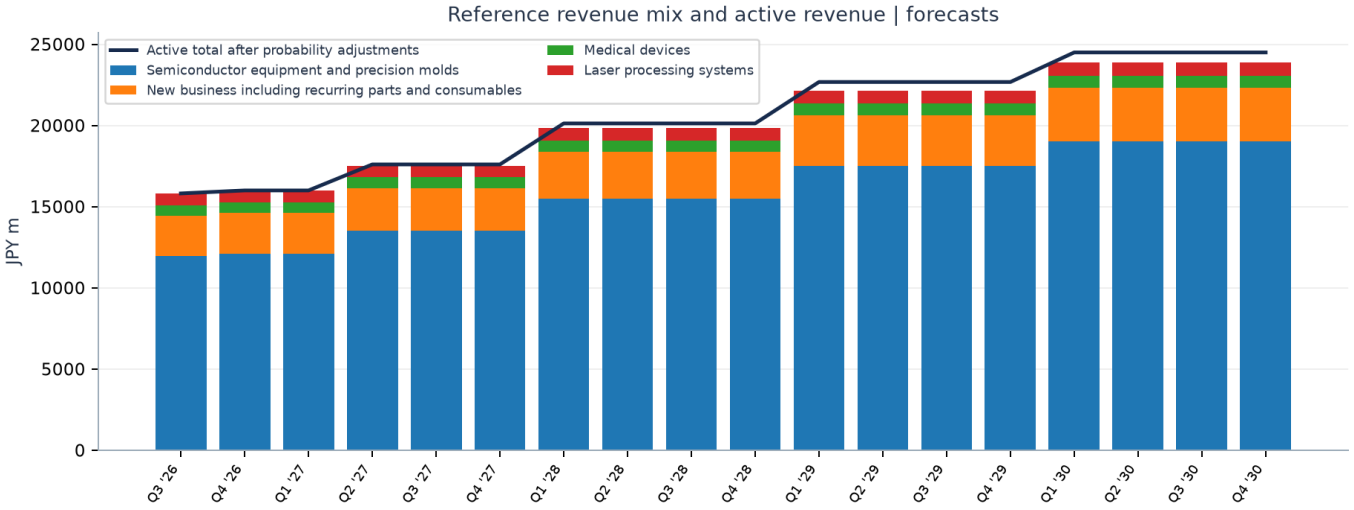
The next evidence to watch is the November financial update, accepted INNOMS systems, product margins after prototype costs, backlog conversion, customer installation readiness and disclosure of the Kyoto project's actual investment. A rise in orders without conversion should increase the timing reserve rather than automatically raise earnings.

The analytical score is 46/60, rounded to 77. This is a process-technology growth thesis with cyclical execution exposure. The owner's growth/re-rating heuristic should use the dated share price and current quarterly ceilings; it must be recalculated rather than hardcoded as a permanent label. It describes sequential target moves and is not a direct measurement of P/E expansion.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	18	Compression molding expertise, customer certification, precision molds and installed workflow create barriers.
Cycle	8	RecordJuneorders and higher backlog; latest weak-year margin reminds us mix is cyclical.
TAM	8	MUF, panel packaging and INNOMS add process opportunities, not all AI capex.
Catalysts	4	INNOMS field acceptance, HBM4 lines and backlog delivery;2029R&D site is not present capacity.
Macro	8	HBM and advanced packaging support spend;China/export/customercapex exposure persists.
Alpha	4	Separates multipleyear industry HBM tools from annual company orders and subtracts consumable cannibalization.
Risk classes	-4	Customer concentration, product acceptance, competitive pricing and working-capital/capacity execution.
Total	46/60	Rounded Base 77. Both artifact and new workbook row use this score; this is not a manual override.

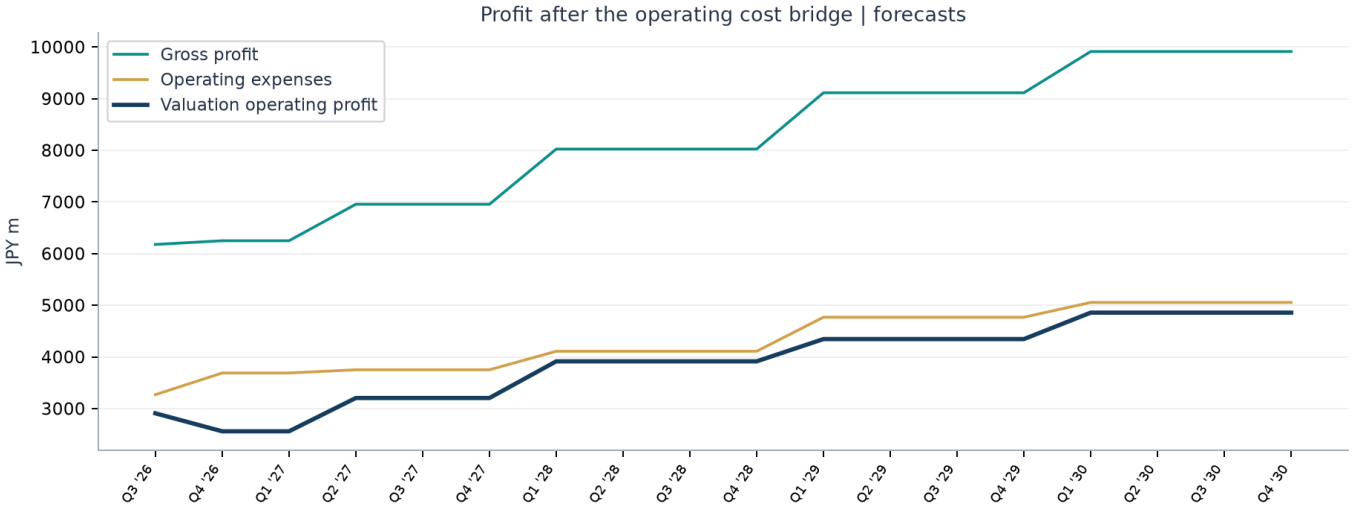
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	15,816.5	0.0	15,816.5
Q4 2026	16,000.0	0.0	16,000.0
Q1 2027	16,000.0	0.0	16,000.0
Q2 2027	17,525.0	76.5	17,601.5
Q3 2027	17,525.0	76.5	17,601.5
Q4 2027	17,525.0	76.5	17,601.5
Q1 2028	19,825.0	301.9	20,126.9
Q2 2028	19,825.0	301.9	20,126.9
Q3 2028	19,825.0	301.9	20,126.9
Q4 2028	19,825.0	301.9	20,126.9
Q1 2029	22,150.0	527.4	22,677.4
Q2 2029	22,150.0	527.4	22,677.4
Q3 2029	22,150.0	527.4	22,677.4
Q4 2029	22,150.0	527.4	22,677.4
Q1 2030	23,900.0	598.0	24,498.0
Q2 2030	23,900.0	598.0	24,498.0
Q3 2030	23,900.0	598.0	24,498.0
Q4 2030	23,900.0	598.0	24,498.0

Gross profit, operating expenses and earnings

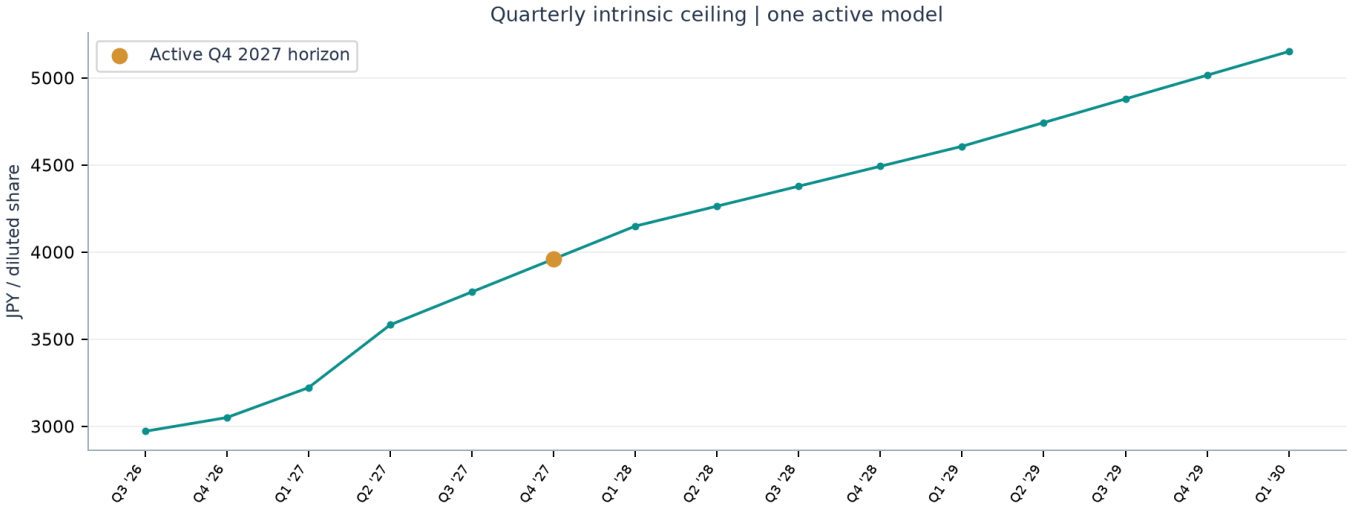


Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026 / Implied Jul-Sep guidance; not actual	15,816.5	6,177.1	3,269.1	2,908.0	18.4%
Q4 2026 / Half-year guidance allocation	16,000.0	6,248.8	3,688.8	2,560.0	16.0%
Q1 2027 / Half-year guidance allocation	16,000.0	6,248.8	3,688.8	2,560.0	16.0%
Q2 2027 / Calendar forecast	17,601.5	6,955.1	3,750.7	3,204.5	18.2%
Q3 2027 / Calendar forecast	17,601.5	6,955.1	3,750.7	3,204.5	18.2%
Q4 2027 / Calendar forecast	17,601.5	6,955.1	3,750.7	3,204.5	18.2%
Q1 2028 / Calendar forecast	20,126.9	8,023.8	4,109.4	3,914.4	19.4%
Q2 2028 / Calendar forecast	20,126.9	8,023.8	4,109.4	3,914.4	19.4%
Q3 2028 / Calendar forecast	20,126.9	8,023.8	4,109.4	3,914.4	19.4%
Q4 2028 / Calendar forecast	20,126.9	8,023.8	4,109.4	3,914.4	19.4%
Q1 2029 / Calendar forecast	22,677.4	9,113.5	4,768.2	4,345.3	19.2%
Q2 2029 / Calendar forecast	22,677.4	9,113.5	4,768.2	4,345.3	19.2%

Quarter / status	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2029 / Calendar forecast	22,677.4	9,113.5	4,768.2	4,345.3	19.2%
Q4 2029 / Calendar forecast	22,677.4	9,113.5	4,768.2	4,345.3	19.2%
Q1 2030 / Calendar forecast	24,498.0	9,912.0	5,054.8	4,857.2	19.8%
Q2 2030 / Calendar forecast	24,498.0	9,912.0	5,054.8	4,857.2	19.8%
Q3 2030 / Calendar forecast	24,498.0	9,912.0	5,054.8	4,857.2	19.8%
Q4 2030 / Calendar forecast	24,498.0	9,912.0	5,054.8	4,857.2	19.8%

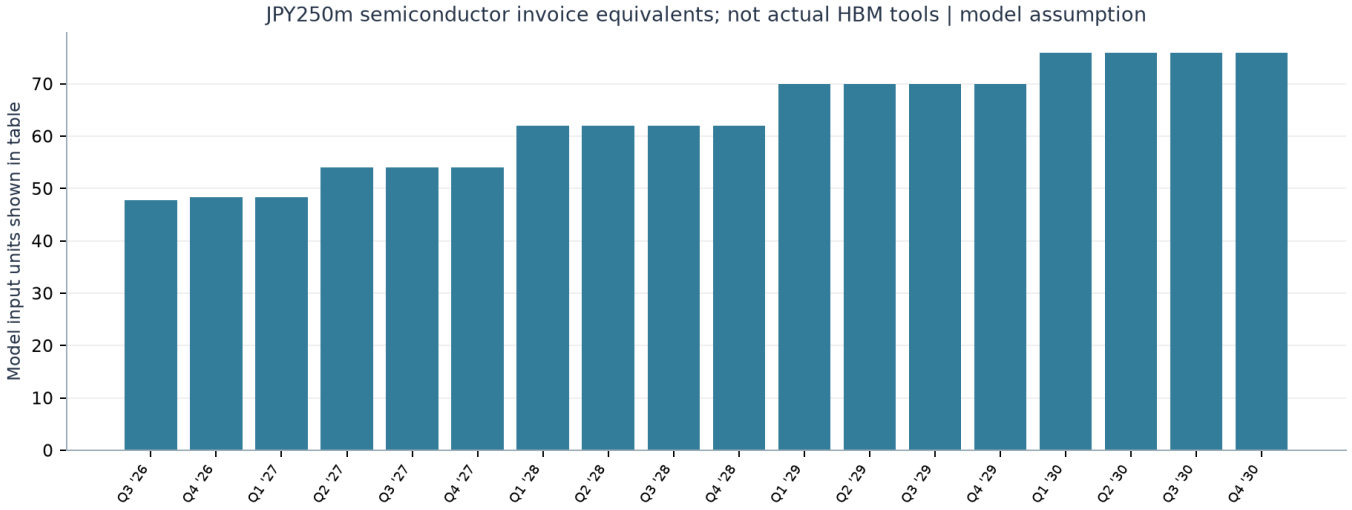
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	11,232.5	20x	75.062	2,972.15
Q4 2026	Q4 2026 to Q3 2027	11,529.0	20x	75.066	3,050.99
Q1 2027	Q1 2027 to Q4 2027	12,173.5	20x	75.070	3,222.53
Q2 2027	Q2 2027 to Q1 2028	13,527.8	20x	75.074	3,583.16
Q3 2027	Q3 2027 to Q2 2028	14,237.7	20x	75.078	3,772.07
Q4 2027	Q4 2027 to Q3 2028	14,947.6	20x	75.082	3,960.97
Q1 2028	Q1 2028 to Q4 2028	15,657.4	20x	75.086	4,149.84
Q2 2028	Q2 2028 to Q1 2029	16,088.4	20x	75.090	4,264.39
Q3 2028	Q3 2028 to Q2 2029	16,519.3	20x	75.094	4,378.93
Q4 2028	Q4 2028 to Q3 2029	16,950.2	20x	75.098	4,493.45
Q1 2029	Q1 2029 to Q4 2029	17,381.1	20x	75.102	4,607.97
Q2 2029	Q2 2029 to Q1 2030	17,893.0	20x	75.106	4,744.04
Q3 2029	Q3 2029 to Q2 2030	18,404.9	20x	75.110	4,880.09
Q4 2029	Q4 2029 to Q3 2030	18,916.8	20x	75.114	5,016.13
Q1 2030	Q1 2030 to Q4 2030	19,428.7	20x	75.118	5,152.15

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	JPY250m semiconductor invoice equivalents; not actual HBM tools	Status
Q3 2026	47.845	Implied Jul-Sep guidance; not actual
Q4 2026	48.400	Half-year guidance allocation
Q1 2027	48.400	Half-year guidance allocation
Q2 2027	54.000	Calendar forecast
Q3 2027	54.000	Calendar forecast
Q4 2027	54.000	Calendar forecast
Q1 2028	62.000	Calendar forecast
Q2 2028	62.000	Calendar forecast
Q3 2028	62.000	Calendar forecast
Q4 2028	62.000	Calendar forecast
Q1 2029	70.000	Calendar forecast
Q2 2029	70.000	Calendar forecast
Q3 2029	70.000	Calendar forecast
Q4 2029	70.000	Calendar forecast
Q1 2030	76.000	Calendar forecast
Q2 2030	76.000	Calendar forecast
Q3 2030	76.000	Calendar forecast
Q4 2030	76.000	Calendar forecast

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Semiconductor equipment and precision molds	11,961.2	41.0%	4,904.1
Q3 2026	New business including recurring parts and consumables	2,476.3	35.0%	866.7
Q3 2026	Medical devices	637.6	30.0%	191.3
Q3 2026	Laser processing systems	741.4	29.0%	215.0
Q4 2026	Semiconductor equipment and precision molds	12,100.0	41.0%	4,961.0
Q4 2026	New business including recurring parts and consumables	2,505.0	35.0%	876.8
Q4 2026	Medical devices	645.0	30.0%	193.5
Q4 2026	Laser processing systems	750.0	29.0%	217.5
Q1 2027	Semiconductor equipment and precision molds	12,100.0	41.0%	4,961.0
Q1 2027	New business including recurring parts and consumables	2,505.0	35.0%	876.8
Q1 2027	Medical devices	645.0	30.0%	193.5
Q1 2027	Laser processing systems	750.0	29.0%	217.5
Q2 2027	Semiconductor equipment and precision molds	13,500.0	41.0%	5,535.0
Q2 2027	New business including recurring parts and consumables	2,650.0	36.0%	954.0
Q2 2027	Medical devices	675.0	30.0%	202.5
Q2 2027	Laser processing systems	700.0	32.0%	224.0
Q3 2027	Semiconductor equipment and precision molds	13,500.0	41.0%	5,535.0
Q3 2027	New business including recurring parts and consumables	2,650.0	36.0%	954.0
Q3 2027	Medical devices	675.0	30.0%	202.5
Q3 2027	Laser processing systems	700.0	32.0%	224.0
Q4 2027	Semiconductor equipment and precision molds	13,500.0	41.0%	5,535.0
Q4 2027	New business including recurring parts and consumables	2,650.0	36.0%	954.0

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q4 2027	Medical devices	675.0	30.0%	202.5
Q4 2027	Laser processing systems	700.0	32.0%	224.0
Q1 2028	Semiconductor equipment and precision molds	15,500.0	41.3%	6,401.5
Q1 2028	New business including recurring parts and consumables	2,875.0	36.0%	1,035.0
Q1 2028	Medical devices	700.0	30.0%	210.0
Q1 2028	Laser processing systems	750.0	32.0%	240.0
Q2 2028	Semiconductor equipment and precision molds	15,500.0	41.3%	6,401.5
Q2 2028	New business including recurring parts and consumables	2,875.0	36.0%	1,035.0
Q2 2028	Medical devices	700.0	30.0%	210.0
Q2 2028	Laser processing systems	750.0	32.0%	240.0
Q3 2028	Semiconductor equipment and precision molds	15,500.0	41.3%	6,401.5
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Q4 2028	New business including recurring parts and consumables	2,875.0	36.0%	1,035.0
Q4 2028	Medical devices	700.0	30.0%	210.0
Q4 2028	Laser processing systems	750.0	32.0%	240.0
Q1 2029	Semiconductor equipment and precision molds	17,500.0	41.6%	7,280.0
Q1 2029	New business including recurring parts and consumables	3,125.0	36.0%	1,125.0
Q1 2029	Medical devices	725.0	30.0%	217.5
Q1 2029	Laser processing systems	800.0	32.0%	256.0
Q2 2029	Semiconductor equipment and precision molds	17,500.0	41.6%	7,280.0
Q2 2029	New business including recurring parts and consumables	3,125.0	36.0%	1,125.0
Q2 2029	Medical devices	725.0	30.0%	217.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2029	Laser processing systems	800.0	32.0%	256.0
Q3 2029	Semiconductor equipment and precision molds	17,500.0	41.6%	7,280.0
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Q4 2029	Semiconductor equipment and precision molds	17,500.0	41.6%	7,280.0
Q4 2029	New business including recurring parts and consumables	3,125.0	36.0%	1,125.0
Q4 2029	Medical devices	725.0	30.0%	217.5
Q4 2029	Laser processing systems	800.0	32.0%	256.0
Q1 2030	Semiconductor equipment and precision molds	19,000.0	41.9%	7,961.0
Q1 2030	New business including recurring parts and consumables	3,300.0	36.0%	1,188.0
Q1 2030	Medical devices	750.0	30.0%	225.0
Q1 2030	Laser processing systems	850.0	32.0%	272.0
Q2 2030	Semiconductor equipment and precision molds	19,000.0	41.9%	7,961.0
Q2 2030	New business including recurring parts and consumables	3,300.0	36.0%	1,188.0
Q2 2030	Medical devices	750.0	30.0%	225.0
Q2 2030	Laser processing systems	850.0	32.0%	272.0
Q3 2030	Semiconductor equipment and precision molds	19,000.0	41.9%	7,961.0
Q3 2030	New business including recurring parts and consumables	3,300.0	36.0%	1,188.0
Q3 2030	Medical devices	750.0	30.0%	225.0
Q3 2030	Laser processing systems	850.0	32.0%	272.0
Q4 2030	Semiconductor equipment and precision molds	19,000.0	41.9%	7,961.0
Q4 2030	New business including recurring parts and consumables	3,300.0	36.0%	1,188.0
Q4 2030	Medical devices	750.0	30.0%	225.0
Q4 2030	Laser processing systems	850.0	32.0%	272.0

Operating-cost derivation

Quarter	R&D including process engineering	Selling administration service and ordinary amortization
Q3 2026	1,471.1	1,798.0
Q4 2026	1,659.9	2,028.8
Q1 2027	1,659.9	2,028.8
Q2 2027	1,676.2	2,048.8
Q3 2027	1,676.2	2,048.8
Q4 2027	1,676.2	2,048.8
Q1 2028	1,822.5	2,227.5
Q2 2028	1,822.5	2,227.5
Q3 2028	1,822.5	2,227.5
Q4 2028	1,822.5	2,227.5
Q1 2029	2,103.8	2,571.2
Q2 2029	2,103.8	2,571.2
Q3 2029	2,103.8	2,571.2
Q4 2029	2,103.8	2,571.2
Q1 2030	2,227.5	2,722.5
Q2 2030	2,227.5	2,722.5
Q3 2030	2,227.5	2,722.5
Q4 2030	2,227.5	2,722.5

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	INNOMS AND PLP ACCEPTANCE	45%	0.0	0.0	0.0	0.0
Q3 2026	NEW ORDER PRICING	50%	0.0	0.0	0.0	0.0
Q3 2026	ACCEPTANCE AND MIX RISK	30%	0.0	0.0	0.0	0.0
Q4 2026	INNOMS AND PLP ACCEPTANCE	45%	0.0	0.0	0.0	0.0
Q4 2026	NEW ORDER PRICING	50%	0.0	0.0	0.0	0.0
Q4 2026	ACCEPTANCE AND MIX RISK	30%	0.0	0.0	0.0	0.0
Q1 2027	INNOMS AND PLP ACCEPTANCE	45%	0.0	0.0	0.0	0.0
Q1 2027	NEW ORDER PRICING	50%	0.0	0.0	0.0	0.0
Q1 2027	ACCEPTANCE AND MIX RISK	30%	0.0	0.0	0.0	0.0
Q2 2027	INNOMS AND PLP ACCEPTANCE	45%	1,000.0	430.0	140.0	130.5
Q2 2027	NEW ORDER PRICING	50%	63.1	56.8	6.3	25.2
Q2 2027	ACCEPTANCE AND MIX RISK	30%	-1,350.0	-607.5	-135.0	-141.8
Q3 2027	INNOMS AND PLP ACCEPTANCE	45%	1,000.0	430.0	140.0	130.5
Q3 2027	NEW ORDER PRICING	50%	63.1	56.8	6.3	25.2
Q3 2027	ACCEPTANCE AND MIX RISK	30%	-1,350.0	-607.5	-135.0	-141.8
Q4 2027	INNOMS AND PLP ACCEPTANCE	45%	1,000.0	430.0	140.0	130.5
Q4 2027	NEW ORDER PRICING	50%	63.1	56.8	6.3	25.2
Q4 2027	ACCEPTANCE AND MIX RISK	30%	-1,350.0	-607.5	-135.0	-141.8
Q1 2028	INNOMS AND PLP ACCEPTANCE	45%	1,625.0	698.8	227.5	212.1
Q1 2028	NEW ORDER PRICING	50%	71.4	64.2	7.1	28.5
Q1 2028	ACCEPTANCE AND MIX RISK	30%	-1,550.0	-697.5	-155.0	-162.8

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2028	INNOMS AND PLP ACCEPTANCE	45%	1,625.0	698.8	227.5	212.1
Q2 2028	NEW ORDER PRICING	50%	71.4	64.2	7.1	28.5
Q2 2028	ACCEPTANCE AND MIX RISK	30%	-1,550.0	-697.5	-155.0	-162.8
Q3 2028	INNOMS AND PLP ACCEPTANCE	45%	1,625.0	698.8	227.5	212.1
Q3 2028	NEW ORDER PRICING	50%	71.4	64.2	7.1	28.5
Q3 2028	ACCEPTANCE AND MIX RISK	30%	-1,550.0	-697.5	-155.0	-162.8
Q4 2028	INNOMS AND PLP ACCEPTANCE	45%	1,625.0	698.8	227.5	212.1
Q4 2028	NEW ORDER PRICING	50%	71.4	64.2	7.1	28.5
Q4 2028	ACCEPTANCE AND MIX RISK	30%	-1,550.0	-697.5	-155.0	-162.8
Q1 2029	INNOMS AND PLP ACCEPTANCE	45%	2,250.0	967.5	315.0	293.6
Q1 2029	NEW ORDER PRICING	50%	79.7	71.8	8.0	31.9
Q1 2029	ACCEPTANCE AND MIX RISK	30%	-1,750.0	-787.5	-175.0	-183.8
Q2 2029	INNOMS AND PLP ACCEPTANCE	45%	2,250.0	967.5	315.0	293.6
Q2 2029	NEW ORDER PRICING	50%	79.7	71.8	8.0	31.9
Q2 2029	ACCEPTANCE AND MIX RISK	30%	-1,750.0	-787.5	-175.0	-183.8
Q3 2029	INNOMS AND PLP ACCEPTANCE	45%	2,250.0	967.5	315.0	293.6
Q3 2029	NEW ORDER PRICING	50%	79.7	71.8	8.0	31.9
Q3 2029	ACCEPTANCE AND MIX RISK	30%	-1,750.0	-787.5	-175.0	-183.8
Q4 2029	INNOMS AND PLP ACCEPTANCE	45%	2,250.0	967.5	315.0	293.6
Q4 2029	NEW ORDER PRICING	50%	79.7	71.8	8.0	31.9
Q4 2029	ACCEPTANCE AND MIX RISK	30%	-1,750.0	-787.5	-175.0	-183.8
Q1 2030	INNOMS AND PLP ACCEPTANCE	45%	2,500.0	1,075.0	350.0	326.2
Q1 2030	NEW ORDER PRICING	50%	86.0	77.4	8.6	34.4

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2030	ACCEPTANCE AND MIX RISK	30%	-1,900.0	-855.0	-190.0	-199.5
Q2 2030	INNOMS AND PLP ACCEPTANCE	45%	2,500.0	1,075.0	350.0	326.2
Q2 2030	NEW ORDER PRICING	50%	86.0	77.4	8.6	34.4
Q2 2030	ACCEPTANCE AND MIX RISK	30%	-1,900.0	-855.0	-190.0	-199.5
Q3 2030	INNOMS AND PLP ACCEPTANCE	45%	2,500.0	1,075.0	350.0	326.2
Q3 2030	NEW ORDER PRICING	50%	86.0	77.4	8.6	34.4
Q3 2030	ACCEPTANCE AND MIX RISK	30%	-1,900.0	-855.0	-190.0	-199.5
Q4 2030	INNOMS AND PLP ACCEPTANCE	45%	2,500.0	1,075.0	350.0	326.2
Q4 2030	NEW ORDER PRICING	50%	86.0	77.4	8.6	34.4
Q4 2030	ACCEPTANCE AND MIX RISK	30%	-1,900.0	-855.0	-190.0	-199.5

Enterprise-to-equity reconciliation

20x forward-four-quarter fully expensed operating profit, less JPY1,554.065m matched net financial/pension claims after a JPY10bn operating reserve, divided by end-window diluted common shares. Calendar quarter plus next three.

Quarter	Reference claims	Weighted change	Total claims	Ceiling / share
Q3 2026	1,554.1	0.0	1,554.1	2,972.15
Q4 2026	1,554.1	0.0	1,554.1	3,050.99
Q1 2027	1,554.1	0.0	1,554.1	3,222.53
Q2 2027	1,554.1	0.0	1,554.1	3,583.16
Q3 2027	1,554.1	0.0	1,554.1	3,772.07
Q4 2027	1,554.1	0.0	1,554.1	3,960.97
Q1 2028	1,554.1	0.0	1,554.1	4,149.84
Q2 2028	1,554.1	0.0	1,554.1	4,264.39
Q3 2028	1,554.1	0.0	1,554.1	4,378.93
Q4 2028	1,554.1	0.0	1,554.1	4,493.45
Q1 2029	1,554.1	0.0	1,554.1	4,607.97
Q2 2029	1,554.1	0.0	1,554.1	4,744.04
Q3 2029	1,554.1	0.0	1,554.1	4,880.09
Q4 2029	1,554.1	0.0	1,554.1	5,016.13
Q1 2030	1,554.1	0.0	1,554.1	5,152.15
Q2 2030	1,554.1	0.0	1,554.1	-
Q3 2030	1,554.1	0.0	1,554.1	-
Q4 2030	1,554.1	0.0	1,554.1	-

Claim decisions, overlap and triggers

INNOMS_AND_PLP_ACCEPTANCE

p: 0.45

source: May presentation and Q&A; August record orders

bounded: Full-year conditional net revenue JPY4bn in 2027, bounded 0-6bn; p sensitivity 35-60%. Only April-December is eligible in 2027, giving JPY3bn. Full-year additions are JPY6.5bn/9bn/10bn in 2028-30.

bridge: JPY10bn conditional gross opportunity less 60% reference overlap = JPY4bn net, including a consumable-cannibalization allowance. 43% incremental gross margin less 14% incremental R&D/service/opex = 29% operating margin.

overlap: HBM, PLP and INNOMS share one acceptance branch. Current fiscal-year guidance already contains the early ramp.

decision: Apply from April 2027. Do not count prototypes as accepted sales.

counter: Customer qualification, lower film consumption, factory/power delays and first-unit manufacturing costs.

NEW_ORDER_PRICING

p: 0.5

source: Customer cost of waiting and INNOMS value proposition

bounded: 3% premium on 20% of new/repriceable reference orders, with 40% overlap removed. Premium range 0-5%.

bridge: 90% incremental GP minus 10% additional opex retains 80% of premium revenue as OP.

overlap: Exclude fixed backlog and all additional acceptance-branch invoices.

decision: Apply from April 2027. An analyst question about 20-30% premiums is not confirmed company pricing.

ACCEPTANCE_AND_MIX_RISK

p: 0.3

source: Prior-year margin compression; management factory-delay discussion

bounded: 10% semiconductor reference revenue loss, bounded 5-15%.

bridge: 45% GP loss offset by 10% variable opex relief leaves a 35% decremental OP margin.

overlap: Qualification delay, product mix and capacity response form one adverse branch.

decision: Retain negative outcomes in the active probability-weighted model.

Remaining bounded uncertainties

- INNOMS selling prices, accepted units and product gross margins are not publicly disclosed; JPY250m invoice equivalents are analytical proxies.

- August financial results had no management briefing. May presentation narration and Q&A, and the earlier November presentation, are the available management records reviewed.

- The October integrated-report link could not be retrieved; the June annual securities report supplies financial and risk notes.

- Subsegment gross margins are model allocations. Fully expensed group guidance controls the near-term calendar quarters.

- JPY15bn of short-term borrowing needs repayment or rollover; a cash-flow forecast does not establish renewed lender commitments.

- The JPY136.956m net pension and JPY551.933m lease balances are March values carried forward where June detail does not break them out.

- No additional value is assigned to cross-held securities, future buybacks or unidentified new customers.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Q1 FY2026 financial results | 2026-08-06 | https://www.towajapan.co.jp/en/wp-content/uploads/sites/3/2026/08/2026first_quarter_eng.pdf | Archived SHA-256: 5ffc14729debe57985d3132cd667e5b38a8f70eaa712e145586519370b58fda0

[2] Q1 FY2026 presentation | 2026-08-06 | https://www.towajapan.co.jp/en/wp-content/uploads/sites/3/2026/08/2026first_quarter_presentation_eng.pdf | Archived SHA-256: ef8e5b687e06dff2d0bd2b740953d8f6f3e84792c06aae678d955fdba97148df

[3] May management presentation | 2026-05-11 | https://www.towajapan.co.jp/en/wp-content/uploads/sites/3/2026/05/2025FY_end_presentation_eng.pdf | Archived SHA-256: d61e8a37794b9e585206fb303b0694a9ef9f7f311417c7d0e86429cfe6858445

[4] May management QA | 2026-05-15 | https://www.towajapan.co.jp/en/wp-content/uploads/sites/3/2026/05/2025FY_qa_eng.pdf | Archived SHA-256: 3be1bbe37090e48eee42e41e6e0fd90193bd07d43d6c4721f59b62a9c31ac037

[5] Prior November management | 2025-11 | https://www.towajapan.co.jp/en/wp-content/uploads/sites/3/2025/11/2026_secondquarter_presentation_eng.pdf | Archived SHA-256: 5e001b071c5d66f1ecf9b62b26b2cea00aed95c54f1ae330156239a43567d7d3

[6] Annual securities report | 2026-06 | https://www.towajapan.co.jp/en/ir/library/ | Archived SHA-256: 8448f70996acf386e1234331ca5c1b9945a23e833df26186a021eaead5da309d

[7] Kyoto RD site | 2025-12-22 | https://www.towajapan.co.jp/en/wp-content/uploads/sites/3/2025/12/news_20251222_eng.pdf | Archived SHA-256: a836ad5f8fbf1b5513a361097fad73b3c9b757693a0f3314212a28a1fd26c417

[8] August share issuance | 2026-08-18 | https://www.towajapan.co.jp/jp/news/ir_20260818/ | Archived SHA-256: fae82c095f86239e5f731045c3d9cc623a335b2fc0d39d474fe4f807e5e4cf68